



Time: 5 minutes

Outcome: Compare Monopoly Welfare, Efficiency & Competitive Comparison.

Difficulty: Intermediate

Monopoly Welfare, Efficiency & Competitive Comparison

THE CORE IDEA

Compared with competition, monopoly usually restricts output, raises price, transfers surplus, and creates deadweight loss. Transfers remain in total surplus; unrealized trades do not. The omitted units would generate positive gains from trade. Market power generally leads the monopolist to restrict output and charge a higher price than the competitive benchmark.

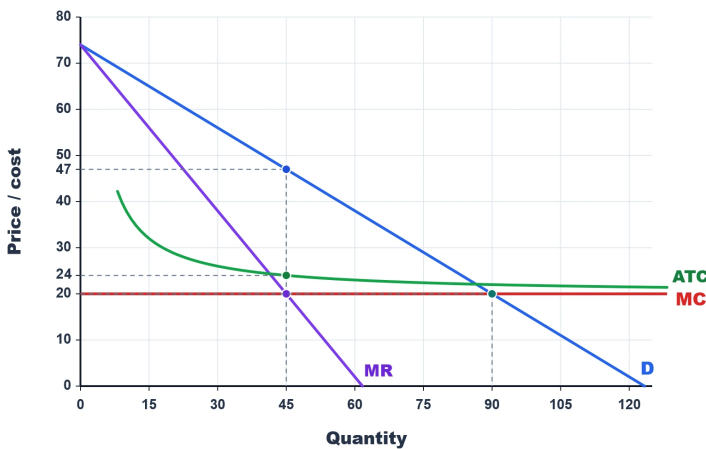
HOW TO RECOGNIZE IT

- Compare monopoly output and price with the competitive benchmark where price equals marginal cost.
- Monopoly normally produces less and charges more than a competitive market.
- Separate the transfer of surplus to the monopolist from surplus lost through reduced output.
- Deadweight loss is the value of trades between monopoly output and the efficient quantity that no longer occur.

WATCH OUT

A common mistake is to reverse monopoly competitive comparison. Market power generally leads the monopolist to restrict output and charge a higher price than the competitive benchmark.

WORKED EXAMPLE: IDENTIFYING MONOPOLY DEADWEIGHT LOSS



The unregulated monopoly chooses about 45 units where $MR = MC$ and charges the demand price of about \$47. The efficient outcome occurs where demand meets MC: 90 units at \$20. Monopoly therefore restricts output and raises price, leaving mutually beneficial units between 45 and 90 unproduced.

CHECK YOURSELF

Which part of lost consumer surplus is deadweight loss?

READY?

Return to the game and master this concept.